In adopting rule 30e-3, the Commission understood that it would reduce the allocation of resources to printing and mailing of reports, depending on how many funds choose to rely on the rule. At that time, the Commission estimated that annual printing and mailing costs (inclusive of processing fees) for shareholder reports were approximately $20,707.33 per fund absent rule 30e-3.[740] Based on the current number of funds, the aggregate costs would be approximately $257.0 million.[741] At the time of adoption, the Commission estimated that 90 percent of funds would choose to rely on rule 30e-3. Based on the current number of funds, this would result in reduced printing and mailing costs for funds of approximately $231.3 million.[742] Under our current estimate of the proportion of funds relying on rule 30e-3, which is 86%, the annual savings in printing and mailing costs for funds will decline from approximately $231.3 million to $221.0 million.[743] The estimated aggregate printing and mailing costs for funds' shareholder reports in 2021 depends on whether and how fully funds achieve the projected savings for rule 30e-1 by that year. We expect the aggregate printing and mailing costs (inclusive of processing fees) to range between $36.0 million and $257.0 million in 2021, without the proposal, depending on how fully funds have realized the projected savings from reliance on rule 30e-3.[744] For example, we would expect the costs to

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740 *See id.* at n.353.

741 $20,707.33 x 12,410 funds = $256,977,965 = $257.0 million.

742 *See* Rule 30e-3 Adopting Release, *supra* footnote 14, at n.372 and accompanying text (using an approach to estimate gross aggregate annual savings of printing and mailing costs as the aggregate annual printing and mailing costs multiplied by the percentage of funds expected to rely on rule 30e-3). $256,977,965 x 90% = $231.3 million.

743 $256,977,965 x 86% = $221,001,050.

744 $256,977,965 - $221,001,050 = $35,976,915.

be closer to the lower end of the range if most or all of the 86% of funds are able to rely on the rule to transmit annual and semi-annual reports in 2021, while we would expect the costs to be closer to the higher end of the range if many of these funds are still subject to rule 30e-3's transition period for some or all of 2021.[745]

A summary of the delivery scenarios that would occur without the proposal, along with typical delivery outcomes, appears in table 7 below. As indicated, the baseline delivery outcomes vary across funds and shareholders, according to their expressed preferences and circumstances:

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[745] *See* rule 30e-3(i) (generally requiring funds to include required statements about rule 30e-3 in their prospectuses and shareholder reports for a period of two years prior to relying on the rule).

Table 7. Delivery scenarios without the proposal (baseline).

Table 7.1 – Semi-annual report delivery, baseline – by fund and shareholder choice			
Fund relies on rule 30e-3?	**Shareholder requests electronic delivery**	**Shareholder requests paper delivery**	**Shareholder makes no delivery election**
Yes	Email (with link to 116 page report)	Paper mail (116 page) report	Paper notice (1 page) with link to 116 page report
No	Email (with link to 116 page report)	N/A[1]	Paper mail (116 page) report

Table 7.2 – Annual report delivery, baseline – by fund and shareholder choice			
Fund relies on rule 30e-3?	**Shareholder requests electronic delivery**	**Shareholder requests paper delivery**	**Shareholder makes no delivery election**
Yes	Email (with link to 134 page report)	Paper mail (134 page) report	Paper notice (1 page) with link to 134 page report
No	Email (with link to 134 page report)	N/A[1]	Paper mail (134 page) report

Table 7.3 – Annual prospectus update delivery, baseline – by fund and shareholder choice[2]		
	Shareholder requests electronic delivery?	
Fund uses summary prospectus (rule 498)?	***Yes***	***No***
Yes	Email with link to 8 page summary prospectus update, annual	Paper mail (8 page) summary prospectus update, annual
No	Email with link to 128 page statutory prospectus update, annual	Paper mail (128 page) of statutory prospectus update, annual

Table 7.4 – Other prospectus update delivery, baseline – by fund and shareholder choice			
		Shareholder requests electronic delivery?	
Fund uses summary prospectus (rule 498)?		***Yes***	***No***
Yes	Email with link to summary prospectus update or sticker (sometimes may be combined with shareholder report delivery)	Paper mail of summary prospectus update or sticker (sometimes may be combined with shareholder report delivery)	
No	Email with link to statutory prospectus update or sticker (sometimes may be combined with shareholder report delivery)	Paper mail of statutory prospectus update or sticker (sometimes may be combined with shareholder report delivery)	

Notes:
1. "N/A" reflects the fact that, if a fund does not rely on rule 30e-3, paper delivery of the full report is the default delivery mechanism. If the fund relies on rule 30e-3, however, delivery of a paper notice with a link to the online location of the shareholder report becomes the default, as the table indicates.
2. This table assumes that the fund delivers annual prospectus updates to all shareholders because we understand the majority of funds follow this practice. If a fund instead delivered prospectuses only to those shareholders who

purchase additional shares of the fund during the year, receipt of a prospectus may not be an annual occurrence for some shareholders.

5. Investor Use of Fund Disclosure

Based on responses to the Fund Investor Experience RFC and results of prior investor testing and surveys,[746] the Commission understands that investors find that the information currently provided to them is overly long and difficult to understand. Investors have expressed concern about the length of the materials.[747] Many investors have also suggested that fund disclosure is too complex or technical.[748] For example, one survey reported that 67% of surveyed investors found shareholder reports difficult to understand, and another found the number to be higher, 72%.[749] Some investor surveys suggest that many investors review little, if any, of funds' shareholder reports.[750]

In addition, some investors have expressed concern about the fee information that funds disclose.[751] Many investors responding to the Fund Investor Experience RFC expressed the view that funds do not clearly disclose their fees and expenses. This may indicate that they do not make effective use of the fee information that is provided under the current

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746 *See supra* Section I.B.

747 *See, e.g.*, Rojas Comment Letter ("I receive too much information. It is too long and too complex.); Franco Comment Letter; Nevin Comment Letter; Woods Comment Letter; David Comment Letter (stating that fund disclosures are too overwhelming to be useful).

748 *See supra* footnotes 32 through 36 and accompanying text.

749 *See* Broadridge Comment Letter I (stating that 72% of surveyed investors that review mutual fund or ETF disclosures do not find them easy to understand); ICI Investor Testing (stating that 67% of surveyed mutual fund investors who recalled receiving fund shareholder reports indicated that the reports are difficult to understand).

750 *See supra* footnote 40 and accompanying text.

751 *See supra* Section I.B.2.

requirements. Several of these investors expressed support for simplifying fee presentations by, for example, reducing the number of line items in the prospectus fee table or providing only one "bottom-line" number showing the fees associated with an investment in the fund. Some commenters suggested that funds should disclose fees in terms of dollars rather than percentages to make the disclosure more understandable to investors.[752] Some commenters have suggested that disclosing AFFE in the fee table may confuse investors because the fee table does not reflect similar indirect expenses of the fund and combining the fund's operating expenses with indirect AFFE does not align with the fund's financial statements.[753]

Investors also indicate that prospectus risk disclosures are difficult to understand,[754] and this may mean that such disclosures currently are difficult to incorporate into investment decisions. For example, many investors responding to the Fund Investor Experience RFC suggested that disclosure about a fund's risks is too long. Some investors suggested that funds should order risks by importance or otherwise better focus their risk disclosures.

6. Fund Advertisements

The Commission rules on investment company advertising apply to all registered investment companies and BDCs. These rules largely focus on how certain types of funds present their performance in advertisements. This focus reflects the Commission's acknowledgement that investors use information about performance to choose among funds and concern that, absent requirements to standardize how funds present performance in

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752 *See supra* footnote 63 and accompanying text.

753 *See, e.g.*, Chapman and Cutler Fund of Funds Comment Letter; Invesco Fund of Funds Comment Letter.

754 *See supra* Section I.B.2.

advertisements, investors may be susceptible to basing their investment decisions on information that is inaccurate or creates an inaccurate impression of the fund's performance.[755]

In recent years, many funds have reduced their fees they impose on investors. The staff has observed that some funds have highlighted low fees in their advertising materials as a salient factor for investors to consider when choosing among funds. For example, we understand that some funds are advertised as "zero expense" or "no expense" funds based on the information included in their prospectus fee tables, potentially leading investors to believe these funds impose no costs even though the adviser or an affiliate may be collecting fees (*e.g.* securities lending costs) from the investor's fund investment. As a result, investors may be more likely today to consider a fund's fees when making their investment choices than they were when the Commission last updated the investment company advertising rules.[756] Also as a result, funds may face increased incentives to understate or obscure fees in their advertising materials.

Advertising can reduce information asymmetries with implications for investor search costs and effects on investor choices and investment outcomes. Lower search costs can lead to

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[755] *See* Rule 156 Adopting Release, *supra* footnote 662; Investment Company Sales Literature Interpretive Rule, Investment Company Act Release No. 10621 (Mar. 8, 1979) [44 FR 16935 (Mar. 20, 1979)], at paragraph accompanying n.5.

[756] *See, e.g.*, Michael Goldstein, *Issues Facing the U.S. Money Management Industry: Presentation to SEC Asset Management Advisory Committee*, at 27-28, *available at* https://www.sec.gov/files/Empirical-Research-Issues-Facing-US-MM.pdf; Ben Phillips, *Remarks and Discussion: U.S. Securities and Exchange Commission, Asset Management Advisory Committee*, at 2, 8, and 15 (Jan. 14, 2020), *available at* https://www.sec.gov/files/BenPhillips-CaseyQuirk-Deloitte.pdf.

more efficient matches between investor preferences and choices. Advertising can also make investors worse off, however.[757] It depends on the abilities of investors to make effective use of the information that the advertising conveys. On the one hand, a fund advertisement can convey information that reduces information asymmetry between the fund and the investor. The effects can be lower search costs for the investor and a lesser chance of a mismatch between the investor's preferences and the fund that is ultimately chosen. However, investors may respond to advertising in ways that are not consistent with their own interests. The effectiveness of the advertising in lowering search costs and improving match efficiency depends on the investor's ability to understand the information. For example, a positive relation between funds' marketing efforts and investor flows (cash investment from investors) is well-documented among mutual funds.[758] In that context, the adviser to the fund bears marketing expenses as part of its total operating cost, and fund shareholders are found to bear some of that cost in the form of fund expenses—unless shareholders react by switching to a similar fund that has lower expenses. One study observed that funds charge higher fees to cover the marketing cost as they engage in an "arms race" for similar pools of investors.[759]

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[757] *See, e.g.,* Nikolai Roussanov, Hongxun Ruan, & Yanhao Wei, *Marketing Mutual Funds*, Nat'l Bureau of Econ. Research, Working Paper No. 25056 (2018) (developing and estimating a structural model of the effects of mutual fund marketing with costly investor search).

[758] *See, e.g.,* Prem Jain & Joanna Wu, *Truth in Mutual Fund Advertising: Evidence on Future Performance and Fund Flows*, 2 J. FIN 937 (2000) (finding that advertising in funds increases flows (comparing advertised funds with non-advertised funds closest in returns and with the same investment objective)); Gallaher, Kaniel & Starks (2006) and Kaniel & Parham (2016) (finding a significant and positive impact of advertising expenditures and the resulting media prominence of the funds on fund inflows). Steven Gallaher, Ron Kaniel & Laura T. Starks, *Madison Avenue Meets Wall Street: Mutual Fund Families, Competition and Advertising* (SSRN, Jan. 2006) *available at* https://papers.ssrn.com/sol3/papers.cfm?abstract_id=879775.; Ron Kaniel & Robert Parham, *WSJ Category Kings – The Impact of Media Attention on Consumer and Mutual Fund Investment Decisions*, 123 J. FIN. ECON. 1 (2016).

[759] *See* Roussanov, Ruan, & Wei, *supra* footnote 757.

Some of this cost is passed on to investors according to their abilities to distinguish among funds. The authors suggest that as fees increase, investors with a high search cost would be more likely to be made worse off by the increase in fees and related marketing expenditures than those with low search costs. This is because the investors with the high search costs would be more likely to match with asset managers of poor ability, and because the higher fees would reduce returns.

Under current rules, fund advertising may influence investor choice in ways that depend on the ability of the investor to make effective use of the information in the advertisement. When the investor is able to make effective use of the information, advertising can reduce the investor's search cost and thereby improve the efficiency of the match between the investor's choices and preferences.

C. Costs and Benefits

Where possible, we have attempted to quantify the costs, benefits, and effects on efficiency, competition, and capital formation expected to result from the proposed rule. We are providing both a qualitative assessment and quantified estimates of the potential economic effects of the proposed amendments where feasible. As explained in more detail below, because we do not have, and in certain cases do not believe we can reasonably obtain reliable quantitative evidence to use as a basis for our analysis, we are unable to quantify certain economic effects. For example, because the proposed rule would provide fund investors with more tailored, concise disclosure than they currently receive, it is possible that readership of fund disclosure may increase. We do not have reliable quantitative estimates of the extent to which the use of more concise disclosure would enhance readership compared to the baseline scenario in which funds continue to deliver the materials that investors now receive. Similarly, the format and content of the proposed annual and semi-annual reports could reduce the

amount of time and effort shareholders require to monitor their fund investments and make portfolio decisions (that is, whether to buy additional shares, continue to hold, or sell a fund investment). We also do not have reliable quantitative estimates of the extent to which the delivery of these more concise, tailored reports would reduce the amount of time and effort investors require to make portfolio decisions, or the value of that time and effort to investors. Nor do we have such estimates for the baseline conditions without the proposed rule. In those circumstances in which we do not have the requisite quantitative evidence, we have qualitatively analyzed the economic impact of the proposed rule and the baseline environment. Our inability to quantify these costs, benefits, or other effects does not imply these effects are less significant from an economic perspective. We request that commenters provide any information, including relevant data or supporting quantitative evidence, that may help inform our analysis and understanding of the economic consequences of the proposed rule and amendments.

1. Broad Economic Considerations

In addition to the comments we received in response to the Fund Investor Experience RFC, discussed in Section I.B, academic studies have documented potential benefits of providing more concise and tailored disclosure. While some of these studies apply only to certain elements of our proposal, others apply broadly to the framing of our analysis of the economic impacts of the proposed rule. In particular, some of this research has identified characteristics that may increase the effectiveness of a disclosure document to consumers, as discussed below.[760]

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[760] *See* George Loewenstein, Cass R. Sunstein, & Russell Golman, *Disclosure: Psychology*

Research suggests that, because individuals can exhibit limited ability to absorb and understand the implications of the disclosed information, for example due to limited attention or low level of financial sophistication,[761] more targeted and simpler disclosures may be more effective in communicating information to investors than more complex disclosures. Academic studies suggest that costs, such as from increased investor confusion or reduced understanding of the key elements of the disclosure, are likely to increase as disclosure documents become longer, more complex, or more reliant on narrative text.[762] Consistent with such findings, other empirical evidence suggests that disclosure simplification may benefit consumers of disclosed information.[763] In general, academic research appears to support the notion that shorter and more focused disclosures could be more effective at increasing investors understanding than longer, more complex disclosures. For example, a concise shareholder report or a prospectus fee summary could more effectively communicate information to investors than current shareholder reports or prospectus fee tables.

Changes Everything, 6 ANN. REV. ECON. 391 (2014) ("Lowenstein Paper"). The paper provides a comprehensive survey of the literature relevant to disclosure regulation.

761 See, e.g., David Hirshleifer & Siew Hong Teoh, *Limited attention, information disclosure, and financial reporting*, 36 J. ACCT. & ECON. 337 (2003) ("Hirshleifer & Teoh Study") and L.E. Willis, *Decision making and the limits of disclosure: The problem of predatory lending: Price*, 65 MD. L. REV. 707 (2006).

762 See, e.g., Samuel B. Bonsall & Brian P. Miller, The Impact of Narrative Disclosure Readability on Bond Ratings and the Cost of Debt, 22 REV. ACCT. STUD. 608 (2017) and Alistair Lawrence, Individual Investors and Financial Disclosure, 56 J. ACCT. & ECON. 130 (2013).

763 *See, e.g.,* Sumit Agarwal, et al., *Regulating Consumer Financial Products: Evidence from Credit Cards*, Nat'l Bureau of Econ. Research, Working Paper No. 19484 (Jun. 2014), *available at* https://www.nber.org/papers/w19484 (finding that a series of requirements in the Credit Card Accountability Responsibility and Disclosure Act (CARD Act), including several provisions designed to promote simplified disclosure, has produced substantial decreases in both over-limit fees and late fees, thus saving U.S. credit card users $12.6 billion annually).